

CASE STUDY : UPI / ONLINE PAYMENT FRAUD

The Unified Payments Interface (UPI) has made digital transactions fast and convenient, but it has also created opportunities for fraud. In many cases, cybercriminals take advantage of this speed and simplicity to steal money. Rather than relying on technical hacking, these scams mainly depend on **social engineering**, where victims are manipulated into approving transactions themselves.

How the Scam Works: The “Request Money” Trick

A common situation involves a fraudster pretending to be a buyer on platforms like OLX or Facebook Marketplace.

1. **Initial Approach:** The scammer contacts the seller, showing strong interest in the product and often agreeing to pay the full price immediately to build trust.
2. **False Payment Claim:** They say they cannot meet in person and suggest paying through UPI. Instead of transferring money, they send a “Collect Request” via a payment app.
3. **Manipulation:** The fraudster convinces the victim that they need to approve the request and enter their PIN to *receive* the payment.
4. **Money Loss:** In reality, a PIN is only required when *sending* money. Once the victim enters it, the amount is instantly deducted from their account and transferred to the scammer.

Who is Targeted and What Happens

Anyone using digital payment services can be a target. However, fraudsters often focus on small online sellers, elderly individuals who may be less familiar with technology, and young users searching for quick deals.

The impact can be severe. Apart from financial loss—which is difficult to recover due to the instant nature of UPI—victims may also experience stress and lose confidence in digital payment systems. Since the transaction is technically “authorized” by the user through their PIN, recovering the lost money from banks becomes very challenging.